Bitter Pills to Swallow: The Enforcement Costs of Health Litigation*

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Abstract

Courts routinely compel governments to purchase specific medicines under tight deadlines, overriding standard procurement procedures. We estimate the fiscal costs of such judicial enforcement using bid-level data on pharmaceutical procurement in São Paulo, Brazil (2009–2019). With item, time, and buyer fixed effects, court-mandated purchases raise negotiated prices by 5.4% (3.1% net of quantity effects) and reduce bidder participation by 5.5%. Comparing litigated and administrative urgent purchases—which share planning constraints but differ in penalty exposure—we isolate the "under the gun" effect: judicial sanctions raise total procurement costs by 23–30%, operating entirely through demand fragmentation rather than direct price inflation. These findings reveal a substantial and previously unquantified fiscal cost of right-to-health enforcement.

*Short paper. This version: April 2026. We thank [acknowledgments to be added]. All errors are our own.

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Keywords: public procurement, health litigation, enforcement costs, judicial mandates, passive waste

JEL: D44, D73, H51, H57, I18, K41

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1. Introduction

When courts order governments to purchase specific goods, they override standard procurement procedures and compress the time available for planning and competitive bidding. This paper estimates the fiscal costs of such judicial enforcement in the context of health litigation in Brazil, where courts routinely compel state agencies to procure prescription drugs under tight deadlines.

The interaction between the judiciary and public administration has long attracted scholarly attention. Courts and regulatory agencies can be viewed as alternative instruments of social control, each with distinct comparative advantages (Glaeser and Shleifer, 2003). While courts protect individual rights, their interventions in procurement can be costly: inefficient judicial processes may induce public buyers to accept suboptimal outcomes (Coviello et al., 2018). In health care, judicial mandates are particularly consequential, as they directly determine how—and at what price—the government acquires essential medicines (Wang, 2015; Ferraz, 2009).

Brazil provides an ideal setting to study these costs. The 1988 Constitution enshrines health as a "right of all and a duty of the state," and courts have adopted an expansive interpretation under which virtually any medica-

tion can be obtained through litigation. Court orders are enforced as preliminary injunctions requiring purchase within days, compared to the weeks or months available for ordinary procurement. The volume of health litigation has grown dramatically: first-instance health claims reached approximately 96,000 nationally in 2017, a 130% increase over 2008 (CNJ/INSPER, 2019). In São Paulo state alone, health lawsuits grew by 913% between 2008 and 2017.

We construct a unique bid-level dataset covering all pharmaceutical procurement by the São Paulo State Department of Health (SES/SP) from 2009 through 2019, comprising over 479,000 purchase-offer-item observations for medical supplies conducted through the state's electronic procurement platform (BEC).

Our empirical strategy exploits the quasi-experimental variation generated by court orders and administrative requests. These shocks partition purchases into *ordinary* (standard timeline) and *urgent* (compressed timeline). Within urgent purchases, we further distinguish *administrative* requests—which carry no penalty for procurement failure—from *litigated* purchases, where officials face fines, personal liability, and fund seizure. This distinction isolates what we term the "under the gun" effect: the additional cost attributable to the threat of judicial punishment. We estimate high-dimensional fixed effects regressions with item, year (or year-month), and public buyer unit (PBU) fixed effects, clustering standard errors at the PBU level.

The main findings are as follows. Urgent purchases carry reference prices 2.7% higher and negotiated prices 5.4% higher (total effect), with a direct effect of 3.1% after controlling for quantity. Urgent tenders attract 5.5% fewer bidding firms, yet the probability of tender success is 2.1 percentage points *higher*—consistent with officials accepting higher prices to ensure compliance. The "under the gun" analysis reveals that litigated tenders carry prices 23–30% higher than comparable administrative purchases. A placebo test on items never subject to litigation confirms that the premium is absent where judicial pressure plays no role. Supplier fixed effects decompose the premium into roughly equal demand-side and supply-side components: officials accept worse terms, and firms charge more when they know the purchase is court-mandated.

This paper makes three contributions. First, we provide the first estimates of the causal effect of judicial enforcement on public procurement outcomes using comprehensive administrative data and high-dimensional fixed effects, contributing to the literature on government spending efficiency (Bandiera et al., 2009; Best et al., 2023; Decarolis et al., 2020). Second, we identify and quantify the "under the gun" effect by exploiting the institutional distinction between administrative and litigated urgent purchases, contributing to the literature on how accountability mechanisms generate unintended costs (Rasul and Rogger, 2018; Duflo et al., 2012). Third, we document how judicial mandates distort the planning phase of procurement, adding to the evidence on ex ante design in auction performance (Coviello et al., 2018; Baltrunaite

et al., 2021). Heterogeneity analyses (Online Appendix) confirm that enforcement costs are concentrated where competitive pressure is weakest.

The remainder of the paper is organized as follows. Section 2 reviews the related literature. Section 3 describes the institutional background. Section 4 presents the data and sample. Section 5 details the empirical strategy. Section 6 presents the results. Section 7 concludes.

2. Related Literature

This paper connects several strands of the economics literature. The foundational distinction between *active waste* (corruption) and *passive waste* (inefficiency) in public spending (Bandiera et al., 2009) motivates our focus on a previously unstudied source of passive waste: the compression of planning time induced by judicial mandates. Subsequent work has identified specific channels of passive waste, including bureaucratic capacity (Best et al., 2023), management practices (Rasul and Rogger, 2018), and procurement design (Lewis-Faupel et al., 2016; Szücs, 2024). On the design side, Coviello et al. (2018) show that court-imposed delays reduce bidder participation and increase costs in Italian public works, while Decarolis et al. (2020) demonstrate that buyer competence is a key determinant of procurement outcomes, and Baltrunaite et al. (2021) find that reducing discretion can improve outcomes when corruption is prevalent but may harm outcomes otherwise. Our setting differs in that judicial intervention compresses rather than extends the procurement timeline, and the primary mechanism operates

through planning disruption rather than direct manipulation of award criteria. Our "under the gun" effect is a specific instance of the broader tension identified in the accountability literature: oversight mechanisms intended to reduce waste can themselves generate costs when they distort rather than align incentives (Duflo et al., 2012; Williams, 2021). Finally, the legal and public health literatures have documented the growth of health litigation in Latin America (Wang, 2015; Ferraz, 2009; Biehl et al., 2009), but have focused on the legal and health dimensions with limited attention to fiscal costs transmitted through the procurement channel. We fill this gap by providing granular estimates of how judicial enforcement affects prices, quantities, competition, and tender success.

3. Institutional Background

This section describes the institutional framework governing health litigation and pharmaceutical procurement in Brazil, with a focus on the state of São Paulo.

3.1. Health as a Constitutional Right and the Rise of Litigation

The 1988 Brazilian Constitution created the Unified Health System (SUS), a universal public health system jointly funded and administered by federal, state, and municipal governments. The SUS maintains a formulary of approved medications, periodically updated to reflect medical advances subject to cost-effectiveness criteria (Castro et al., 2019; Soares, 2019).

However, Brazilian courts have adopted a strict literal interpretation of Article 196, which states that "health is a right of all and a duty of the state." Under this interpretation, any individual can obtain virtually any medication through litigation—from common analgesics to rare-disease treatments costing over US$400,000 per year—irrespective of inclusion on the SUS formulary. Access to the legal system is inexpensive, requiring only a prescription and a public defender, and success rates are exceptionally high: approximately 85% of first-instance claims in São Paulo are granted (CNJ/INSPER, 2019).

The growth has been dramatic. Nationally, first-instance health court orders reached approximately 96,000 in 2017, a 130% increase over 2008 (CNJ/INSPER, 2019). In São Paulo, health lawsuits grew by 913% between 2008 and 2017. Court orders span a wide geographic distribution across municipalities (Figure 1) and encompass approximately 2,760 distinct items per year.

Figure 2 complements this view by mapping the total number of litigated cases per municipality. The concentration of cases in large urban centers—particularly the São Paulo metropolitan area—underscores that the fiscal burden falls disproportionately on a small number of municipalities.

The fiscal impact is substantial. São Paulo's annual public health budget was approximately US$5.9 billion in 2018. Public spending on litigated health items alone amounted to nearly 5% of this budget, or approximately US$300 million annually.

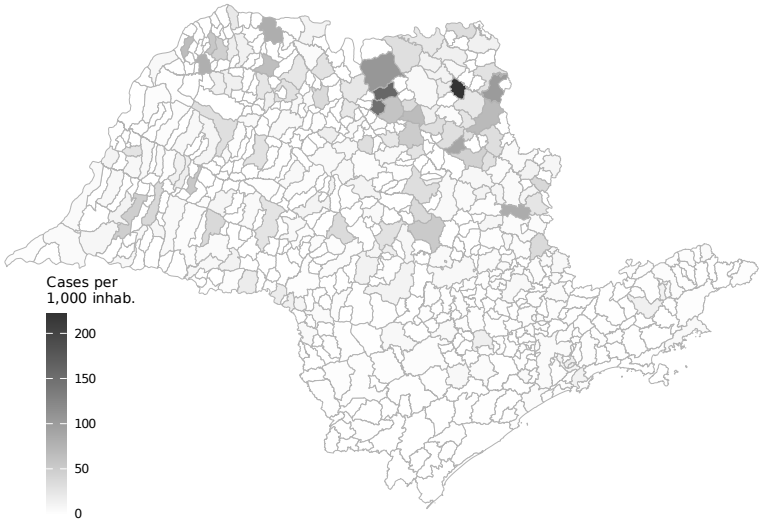

Figure 1: Health Litigation Cases per 1,000 Inhabitants Across Municipalities in São Paulo (2009–2019)

Source: Authors' elaboration based on CNJ/INSPER (2019) litigation data and IBGE population estimates (SIDRA table 6579, 2009–2019 average).

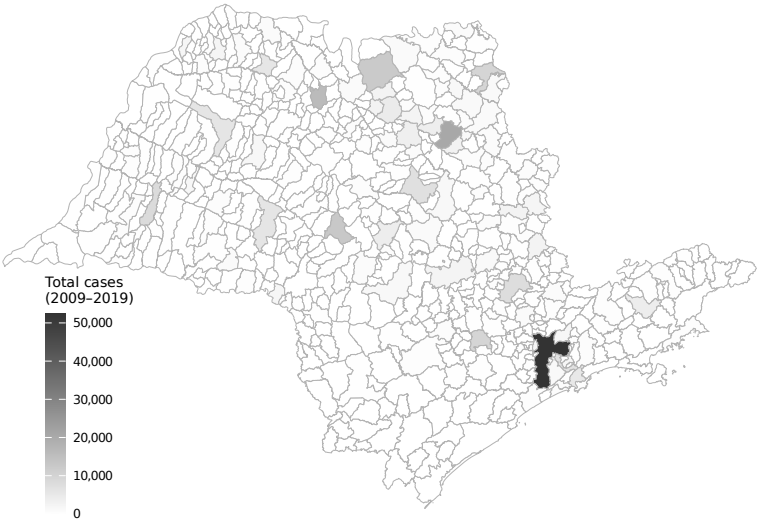

Figure 2: Total Health Litigation Cases by Municipality in São Paulo (2009–2019)
Source: Authors' elaboration based on CNJ/INSPER (2019) litigation data.

3.2. Public Procurement under Judicial Pressure

The São Paulo State Department of Health (SES/SP) manages health policy through 99 decentralized public buyer units (PBUs) distributed across the state (Figure 3).

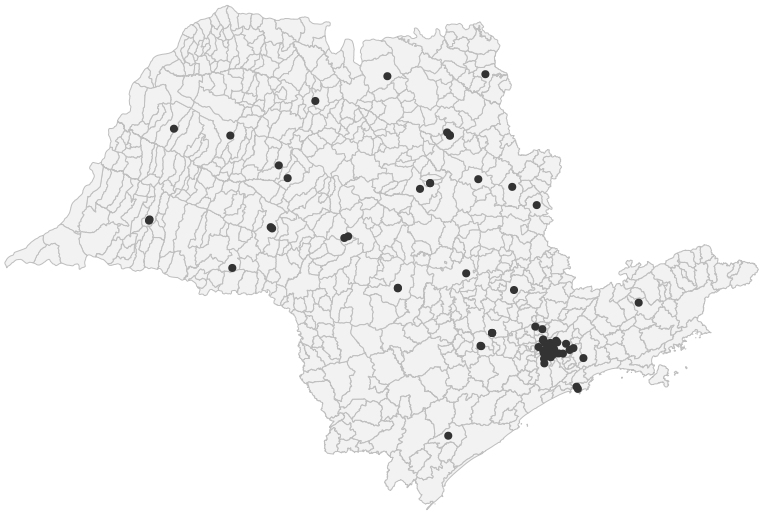

Figure 3: Public Buyer Units (SES/SP)
Source: Authors' elaboration based on SES/SP administrative records.

Federal Law 8,666/1993 requires all government purchases to follow a formal tendering process in three phases: (i) an **internal phase** where PBUs identify needs, specify items, set quantities and reference prices, choose the auction format, and publish a public notice; (ii) an **external phase** where firms compete through sealed-bid (*convite*) or multi-round descending auction (*pregão*); and (iii) a **delivery phase**.

For ordinary purchases, the internal phase typically spans 30 to 180 days. Court orders fundamentally disrupt this process. Almost all court decisions (99.94%) are enforced as preliminary injunctions with delivery deadlines of 1 to 10 days, compressing the internal phase to roughly one-third of the ordinary timeline. This compression affects procurement in several ways. First, PBUs lose the ability to aggregate demand across units and over time, reducing their bargaining leverage from bulk purchasing. Second, reference prices must be set quickly with limited market research, often resulting in higher reservation prices. Third, approximately 75% of litigated items are not on the SUS formulary, meaning PBUs have less experience procuring them. Fourth, roughly 65% of court orders involve "packages" combining SUS and non-SUS items, further complicating procurement planning.

3.3. The Sanction Channel: Administrative vs. Litigated Purchases

A critical institutional feature for our identification strategy is the distinction between *litigated* and *administrative* urgent purchases. Both types face identical planning constraints—compressed timelines, small quantities, and diverted budget resources. However, they differ sharply in the consequences of procurement failure.

For litigated purchases, failure to comply with a court order exposes public officials to severe sanctions: substantial fines (sometimes disproportionate to the purchase value), administrative and criminal liability, and seizure or blocking of public funds. These penalties are public information, as the court

order must be referenced in the tender notice.

Since 2009, the SES/SP has attempted to mitigate these costs through administrative requests, a mechanism allowing the government to negotiate supply directly with individuals before litigation occurs. Administrative requests undergo evaluation by a scientific committee using evidence-based medicine criteria. Crucially, failure to complete an administrative purchase carries no penalties for public officials. Between 2009 and 2019, administrative requests generated approximately 9,700 purchases, or about 6.5% of the total from court orders.

This institutional distinction provides a natural comparison group for isolating the "under the gun" effect, since administrative and litigated purchases share all planning and execution constraints but differ only in the penalty regime. Figure 4 illustrates the three purchase types. The Online Appendix presents complementary geographic evidence on the distribution of administrative demand.

	Ordinary	**Administrative**	**Litigated**
Source of funds	Dedicated budget	Diverted budget	Diverted budget
Quantity	Large	Small	Small
Delivery time	Long	Short	Short
Threat of punishment	None	None	Potential punishment

Figure 4: Types of Purchases
Source: Authors' elaboration.

3.4. The Bidding Process

All purchases—ordinary and urgent—are conducted through the *Bolsa Eletrônica de Compras* (BEC), São Paulo's electronic procurement platform, mandatory for common goods since 2007. Two competitive procedures are used: sealed-bid tendering (*convite*) and multi-round descending auctions (*pregão*) with a reverse auction phase. The key implication is that all purchase types use the same platform and procedures; the variation we exploit arises exclusively from differences in planning conditions and penalty regimes.

4. Data and Sample

4.1. Data Sources

We combine three administrative datasets covering January 2009 through December 2019: (i) bid-level records from the BEC electronic procurement platform for all SES/SP purchases of medical supplies (BEC Group 65), where each observation is a purchase-offer-item (POI) recording reference prices, bid prices, number of bidding firms, quantities, and tender outcomes; (ii) purchase type classification, where we assign each POI as ordinary, administrative, or litigated using a regular expression algorithm applied to tender notices, which by law must reference any underlying court order; and (iii) health litigation records from S-CODES, the SES/SP database of health-related lawsuits, from which we derive SUS formulary status and injunction enforcement data. All continuous variables are winsorized at the 1st and

99th percentiles; robustness checks with alternative winsorization are in the Appendix.

4.2. Sample Construction

The raw dataset comprises 479,330 POI observations across 32,532 distinct items, 94,182 purchase orders, and 100 PBUs. Table 1 reports descriptive statistics by purchase type.

Table 1: Descriptive Statistics by Purchase Type

	Ordinary		Administrative		Litigated		Diff	Diff
	Mean	(SD)	Mean	(SD)	Mean	(SD)	(O–L)	(A–L)
Panel A: Levels								
Reference Price	909.17	(5,959.41)	226.38	(2,257.35)	370.39	(2,540.20)	538.78***	-144.01***
							[0.000]	[0.000]
Negotiated Price	477.51	(2,915.88)	148.03	(1,177.52)	260.25	(1,561.81)	217.26***	-112.22***
							[0.000]	[0.000]
Quantity	31,487.15	(163,507.29)	117,146.00	(356,962.37)	9,646.19	(82,683.10)	21,840.96***	107,499.81***
							[0.000]	[0.000]
N. Bidding Firms	3.17	(1.93)	2.43	(1.35)	2.20	(1.19)	0.97***	0.23***
							[0.000]	[0.000]
Panel B: Log Transformations								
Log Reference Price	0.926	(2.723)	0.909	(2.541)	1.557	(2.446)	-0.632***	-0.648***
							[0.000]	[0.000]
Log Negotiated Price	0.319	(2.862)	0.480	(2.604)	1.024	(2.568)	-0.705***	-0.544***
							[0.000]	[0.000]
Log Quantity	6.947	(2.678)	7.472	(3.160)	6.087	(2.083)	0.860***	1.385***
							[0.000]	[0.000]
Log N. Firms	0.984	(0.590)	0.747	(0.529)	0.665	(0.493)	0.319***	0.081***
							[0.000]	[0.000]
Panel C: Tender Characteristics								
Successful Tender (%)	0.859	(0.348)	0.869	(0.338)	0.908	(0.288)	-0.050***	-0.040***
							[0.000]	[0.000]
Observations	136,250		15,371		45,351			

Notes: Sample restricted to items with at least one ordinary and one litigated purchase. Winners only for price and quantity variables. Variables winsorized at 1%/99%. Stars on differences from Welch t-tests; p-values in brackets. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

The analysis sample is restricted to items for which at least one ordinary and at least one litigated purchase is observed, ensuring within-item comparability. This yields approximately 226,000 observations covering 3,856

items.[1] For regressions using bid prices, we further restrict to winning bids (approximately 197,000 observations).

Several features of the data are noteworthy. In levels, ordinary purchases have substantially higher mean reference prices (R$909) compared to administrative (R$226) and litigated (R$370) purchases, reflecting the mix of items across procurement types. However, the composition effect is absorbed by our item fixed effects. In logs—which form the basis of our regressions—litigated purchases show higher mean prices (1.56 for reference price, 1.02 for negotiated price) than ordinary purchases (0.93 and 0.32), consistent with a price premium conditional on the item. Quantities are markedly lower for litigated purchases (mean of 9,646 units vs. 31,487 for ordinary), reflecting the inability to aggregate demand under compressed timelines. The number of bidding firms is also lower for urgent purchases (2.2 for litigated vs. 3.2 for ordinary), suggesting reduced competition in the external phase.

The Online Appendix presents complementary geographic evidence on the spatial distribution of administrative demand, which mirrors the patterns documented for litigation in Section 3.

For the "under the gun" analysis, we construct a subsample of urgent purchases (administrative and litigated) for items with both types present, yielding approximately 57,000 observations. Table 2 presents balance statistics for this subsample.

[1] Sample sizes vary slightly across tables (196,883–226,305) due to missing values in specific dependent variables and the restriction to winners for price regressions.

Table 2: Balance Table: Administrative vs Litigated (Urgent Purchases)

	Administrative		Litigated		Diff	p-value
	Mean	(SD)	Mean	(SD)	(A–L)	
Panel A: Procurement Outcomes						
Reference Price	226.38	(2,257.35)	232.56	(1,432.18)	-6.18	[0.752]
Negotiated Price	148.03	(1,177.52)	174.79	(1,052.56)	-26.75**	[0.013]
Quantity	117,146.00	(356,962.37)	9,306.87	(80,252.25)	107,839.13***	[0.000]
Log Reference Price	0.91	(2.54)	1.43	(2.32)	-0.52***	[0.000]
Log Negotiated Price	0.48	(2.60)	0.89	(2.44)	-0.41***	[0.000]
Log Quantity	7.47	(3.16)	6.18	(1.99)	1.29***	[0.000]
Panel B: Market Structure						
N. Bidding Firms	2.427	(1.351)	2.155	(1.120)	0.272***	[0.000]
Log N. Firms	0.747	(0.529)	0.650	(0.483)	0.097***	[0.000]
Successful Tender (%)	0.869	(0.338)	0.914	(0.280)	-0.045***	[0.000]
Panel C: Purchase Characteristics						
Electronic Auction	0.985	(0.123)	0.941	(0.236)	0.044***	[0.000]
Observations	15,371		41,491			

Notes: Sample restricted to urgent purchases (administrative and litigated) for items with both types present. Winners only for price/quantity. Variables winsorized at 1%/99%. p-values from Welch t-tests in brackets. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

5. Empirical Strategy

Our analysis proceeds in two stages. First, we estimate the overall enforcement costs by comparing ordinary and urgent purchases. Second, we isolate the "under the gun" effect by comparing litigated and administrative urgent purchases.

5.1. Identification

The key assumption is that, conditional on item, time, and buyer fixed effects, the assignment of purchases to the urgent category is exogenous to

unobserved determinants of procurement outcomes. Several institutional features support this assumption. First, judicial orders and administrative requests originate from individuals' health needs and legal claims, which are unrelated to the procurement process itself. The principle of impersonality in Brazilian public administration ensures that tender outcomes depend on purchase characteristics—item specifications, market conditions, and planning parameters—not on the identity or circumstances of the requesting individual. Second, the timing and content of court orders are unpredictable from the PBU's perspective. Only 4% of judicial claims arise from stock shortages or service failures, suggesting that litigation is poorly correlated with PBU-level mismanagement. Third, the urgency regime is determined by external judicial or administrative decisions, not by PBU choice. While PBUs might in principle manipulate item classification, the legal requirement to reference court orders in tender notices and our REGEX-based classification using official texts mitigate this concern. An event study around the first court order for each item (Online Appendix) shows that prices are *declining* in the years before litigation and rise sharply afterward—the opposite of what endogenous timing (high prices attracting lawsuits) would predict.

5.2. Enforcement Costs: Ordinary vs. Urgent

We estimate the following baseline specification:

$$y_{i,g,t} = \beta \cdot \text{Urgent}_{i,g,t} + \gamma_g + \lambda_t + \delta_b + \varepsilon_{i,g,t}, \tag{1}$$

where $y_{i,g,t}$ is the outcome for purchase order i of item g at time t; γ_g are item fixed effects; λ_t are time fixed effects; and δ_b are PBU fixed effects. Standard errors are clustered at the PBU level. We report four specifications with progressively richer fixed effects, from item FE only through item + year-month + PBU FE. Our preferred specification (item + year + PBU FE) absorbs time-invariant item characteristics, common annual trends, and buyer-specific heterogeneity, while retaining sufficient within-cell variation for precise estimation.

For negotiated prices and number of firms, we additionally estimate a direct effect specification controlling for log quantity:

$$y_{i,g,t} = \beta \cdot \text{Urgent}_{i,g,t} + \alpha \cdot \ln Q_{i,g,t} + \gamma_g + \lambda_t + \delta_b + \varepsilon_{i,g,t}, \tag{2}$$

This specification captures the direct effect of urgency on prices and competition, net of the quantity channel, since urgent purchases typically involve smaller quantities that may independently affect prices through reduced bulk discounts.

5.3. The "Under the Gun" Effect: Litigated vs. Administrative

To isolate the effect of judicial sanctions, we restrict the sample to urgent purchases only and estimate:

$$\ln(\text{Price}_{i,g,t}) = \beta \cdot \text{Admin}_{i,g,t} + \gamma_g + \lambda_t + \delta_b + \varepsilon_{i,g,t}, \tag{3}$$

where Admin equals 1 for administrative purchases and 0 for litigated. Since both types face identical planning constraints, β isolates the cost attributable to the sanction regime.

6. Results

6.1. Reference Prices

Table 3 presents estimates of the effect of urgent procurement on log reference prices—the maximum price the government is willing to pay, set during the internal planning phase.

Table 3: Reference Prices

	(1)	(2)	(3)	(4)
Urgent Purchase	0.164***	0.156***	0.027*	0.027*
	(0.056)	(0.050)	(0.014)	(0.014)
Item FE	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	No
Year-Month FE	No	No	No	Yes
PBU FE	No	No	Yes	Yes
Observations	196,899	196,899	196,896	196,896
Within R^2	0.003	0.003	0.000	0.000

Notes: Dependent variable: log reference price. Sample: winners only, items with both ordinary and litigated purchases. Winsorized at 1%/99%. Standard errors clustered at the PBU level in parentheses. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

The coefficient on Urgent Purchase is positive and significant across all specifications. In the most parsimonious specification with item FE only (column 1), urgent purchases carry reference prices 17.8% higher ($e^{0.164} - 1$).

Adding year FE (column 2) yields a similar estimate of 16.9%. The magnitude decreases substantially in our preferred specification (column 3), where the premium is 2.7% ($e^{0.027} - 1$, $p < 0.10$), and remains stable at 2.7% with year-month FE (column 4). The substantial attenuation from columns (1)–(2) to columns (3)–(4) indicates that PBU fixed effects absorb a large share of the raw premium, suggesting that certain buying units systematically handle more urgent purchases and also face higher prices for unrelated reasons. Our preferred estimate of 2.7% represents the within-item, within-buyer, within-year premium attributable to urgency.

6.2. Negotiated Prices

Table 4 presents the core results on negotiated prices. Panel A reports the total effect; Panel B controls for log quantity to isolate the direct effect.

Total effect (Panel A).. Negotiated prices are significantly higher for urgent purchases across all specifications. The total effect ranges from 17.2% ($e^{0.159} - 1$) with item FE only to 5.4–5.8% with our preferred specifications (columns 3–4). The attenuation pattern mirrors that of reference prices, confirming the importance of buyer-level heterogeneity.

Direct effect (Panel B).. Controlling for log quantity reduces the coefficient on urgency by roughly half in the most saturated specifications: from 0.053 to 0.030 (column 3). The direct effect of 3.1% ($e^{0.030} - 1$, $p < 0.10$) represents the price premium attributable to urgency net of the quantity channel. The coefficient on log quantity is large and negative (-0.392), confirming the

Table 4: Negotiated Prices

	(1)	(2)	(3)	(4)
Panel A: Total Effect				
Urgent Purchase	0.159***	0.151***	0.053***	0.056***
	(0.042)	(0.038)	(0.016)	(0.016)
Panel B: Direct Effect				
Urgent Purchase	0.075	0.060	0.030*	0.030*
	(0.045)	(0.042)	(0.017)	(0.017)
Log Quantity	-0.321***	-0.325***	-0.392***	-0.393***
	(0.026)	(0.026)	(0.029)	(0.029)
Item FE	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	No
Year-Month FE	No	No	No	Yes
PBU FE	No	No	Yes	Yes
Observations	196,886	196,886	196,883	196,883
Within R^2 (A)	0.003	0.003	0.000	0.000
Within R^2 (B)	0.315	0.327	0.358	0.359

Notes: Dependent variable: log negotiated price. Sample: winners only. Panel A reports the total effect; Panel B controls for log quantity. Winsorized at 1%/99%. Standard errors clustered at the PBU level in parentheses. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

importance of bulk discounts: a one standard deviation reduction in log quantity is associated with substantially higher per-unit prices.

6.3. Quantities and Bidder Participation

Table 5 reports estimates for log quantities demanded. Point estimates are negative across all specifications, consistent with reduced quantities under urgency, but are not statistically significant at conventional levels in our preferred specifications (columns 3–4). The magnitude of -0.058 in column (3) corresponds to approximately 5.6% fewer units. The imprecision

likely reflects the high variance in quantities across purchase orders.

Table 5: Quantities

	(1)	(2)	(3)	(4)
Urgent Purchase	-0.264	-0.279	-0.058	-0.065
	(0.183)	(0.181)	(0.056)	(0.058)
Item FE	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	No
Year-Month FE	No	No	No	Yes
PBU FE	No	No	Yes	Yes
Observations	196,899	196,899	196,896	196,896
Within R^2	0.003	0.003	0.000	0.000

Notes: Dependent variable: log quantity. Sample: winners only. Winsorized at 1%/99%. Standard errors clustered at the PBU level in parentheses. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

Table 6 examines bidder participation. Urgent purchases attract significantly fewer firms across all specifications. In our preferred specification (column 3), urgent tenders have 5.5% ($e^{-0.056} - 1$) fewer participating firms. The total effect reaches 10.7% with item FE only (column 1). Controlling for quantity only modestly attenuates the coefficient (Panel B): from -0.056 to -0.042 in column (3), corresponding to a direct effect of 4.1%. The positive coefficient on log quantity (0.065) confirms that larger tenders attract more participants, consistent with standard models of entry into auctions. The reduction in bidder participation is a key mechanism linking urgency to higher prices: with fewer competing firms, the government's bargaining position weakens, consistent with the theoretical prediction that the number of bidders is a primary determinant of auction outcomes (Bulow and Klemperer,

1996).

Table 6: Participant Firms

	(1)	(2)	(3)	(4)
Panel A: Total Effect				
Urgent Purchase	-0.101***	-0.113***	-0.056***	-0.054***
	(0.023)	(0.022)	(0.014)	(0.015)
Panel B: Direct Effect				
Urgent Purchase	-0.091***	-0.102***	-0.042***	-0.040***
	(0.014)	(0.011)	(0.012)	(0.013)
Log Quantity	0.063***	0.064***	0.065***	0.065***
	(0.004)	(0.004)	(0.003)	(0.003)
Item FE	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	No
Year-Month FE	No	No	No	Yes
PBU FE	No	No	Yes	Yes
Obs. (Panel A)	81,805	81,805	81,801	81,801
Obs. (Panel B)	81,793	81,793	81,789	81,789
Within R^2 (A)	0.004	0.006	0.001	0.001
Within R^2 (B)	0.063	0.069	0.043	0.044

Notes: Dependent variable: log number of bidding firms. Sample: winners only. Panel A reports the total effect; Panel B controls for log quantity. Winsorized at 1%/99%. Standard errors clustered at the PBU level in parentheses. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

6.4. Tender Success

Table 7 reports linear probability model estimates for tender success.

The coefficient on urgency is positive and statistically significant: urgent purchases are 2.1 percentage points more likely to succeed than ordinary ones (column 3). This result, while perhaps counterintuitive, is consistent with the "under the gun" mechanism: under pressure to comply with court orders and

Table 7: Tender Success (LPM)

	(1)	(2)	(3)	(4)
Panel A: Total Effect				
Urgent Purchase	0.023**	0.023**	0.021***	0.021***
	(0.009)	(0.009)	(0.006)	(0.006)
Panel B: Direct Effect				
Urgent Purchase	0.023**	0.023**	0.021***	0.022***
	(0.009)	(0.010)	(0.006)	(0.006)
Log Quantity	0.003	0.003	0.012***	0.012***
	(0.004)	(0.004)	(0.002)	(0.002)
Item FE	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	No
Year-Month FE	No	No	No	Yes
PBU FE	No	No	Yes	Yes
Obs. (Panel A)	226,305	226,305	226,301	226,301
Obs. (Panel B)	226,282	226,282	226,278	226,278
Within R^2 (A)	0.001	0.001	0.000	0.000
Within R^2 (B)	0.001	0.001	0.004	0.004

Notes: Dependent variable: successful tender (LPM). Sample: all observations. Panel A reports the total effect; Panel B controls for log quantity. Winsorized at 1%/99%. Standard errors clustered at the PBU level in parentheses. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

facing severe sanctions for failure, procurement officials may accept higher prices or less favorable terms to ensure that tenders succeed rather than fail. The positive success coefficient also implies that the higher negotiated prices in Table 4 are not driven by sample selection—if anything, more urgent tenders succeed despite less favorable conditions.

6.5. The "Under the Gun" Effect

Table 8 presents estimates comparing litigated and administrative urgent purchases—the core test for the sanction channel.

Table 8: Under the Gun: Administrative vs Litigated

	(1)	(2)	(3)	(4)
Panel A: Total Effect				
Administrative (vs Litigated)	-0.209***	-0.205**	-0.262**	-0.265***
	(0.074)	(0.074)	(0.096)	(0.094)
Panel B: Direct Effect				
Administrative (vs Litigated)	-0.006	0.016	0.117	0.115
	(0.056)	(0.058)	(0.122)	(0.115)
Log Quantity	-0.284***	-0.292***	-0.341***	-0.344***
	(0.036)	(0.038)	(0.042)	(0.040)
Item FE	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	No
Year-Month FE	No	No	No	Yes
PBU FE	No	No	Yes	Yes
Observations	56,803	56,803	56,803	56,802
Within R^2 (A)	0.011	0.010	0.007	0.007
Within R^2 (B)	0.287	0.292	0.307	0.310

Notes: Dependent variable: log negotiated price. Sample: urgent purchases only (administrative and litigated), winners, items with both types present. Panel A reports the total effect; Panel B controls for log quantity. Winsorized at 1%/99%. Standard errors clustered at the PBU level in parentheses. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.

Total effect (Panel A).. Administrative purchases have significantly lower negotiated prices than litigated ones across all specifications. In our preferred specification (column 3), the coefficient is -0.262 ($p < 0.05$), implying that litigated purchases are 30.0% ($e^{0.262} - 1$) more expensive than comparable

administrative purchases. The magnitude is even larger with year-month FE (column 4): 30.3%.

Direct effect (Panel B).. Controlling for log quantity, the coefficient falls to 0.117 and becomes statistically insignificant (SE = 0.122, column 3). The 23–30% total cost premium operates entirely through demand fragmentation: judicial sanctions prevent quantity aggregation, yielding smaller orders that forgo bulk discounts. The direct price effect—what officials pay per unit for items of identical quantity—is indistinguishable from zero. A back-of-envelope calculation confirms the channel: the log-quantity gap between administrative and litigated purchases (1.34) times the bulk-discount elasticity (-0.34) implies a 58% price difference from quantity fragmentation alone—more than enough to account for the 30% total premium. The fiscal cost of sanctions is not that officials accept worse prices under pressure, but that they cannot aggregate demand across patients and over time. Framework agreements for commonly litigated items would address this channel directly.

These results demonstrate that judicial sanctions are a quantitatively important driver of procurement costs. The 23–30% total premium represents a substantial and previously unquantified cost of judicial enforcement in health procurement, operating primarily through the quantity channel.

6.6. Falsification: Items Never Litigated

If the urgency premium reflects the causal effect of judicial pressure rather than unobserved item characteristics, it should be absent for items that are never subject to court orders. We test this by running the preferred specification on items with zero litigated purchases across the entire 2009–2019 period, restricting to those with both ordinary and administrative purchases for within-item comparability.

	bid_price_log		bid_price_ref_log	
	(1)	(2)	(3)	(4)
Urgent Purchase	-0.0204	0.0513***	-0.0306	0.0305**
	(0.0316)	(0.0153)	(0.0447)	(0.0141)
Observations	39,283	196,883	46,874	226,278
R^2	0.83364	0.86796	0.81121	0.85183
Within R^2	7.03×10^{-6}	0.00022	1.73×10^{-5}	7.43×10^{-5}
item_id fixed effects	✓	✓	✓	✓
year_n fixed effects	✓	✓	✓	✓
pbu_id fixed effects	✓	✓	✓	✓

Placebo sample: items with zero litigated purchases across 2009-2019. Main sample: items with at least one litigated and one ordinary purchase. DV: log price. Item + Year + PBU FE. SE clustered at PBU level.

The placebo coefficient is -0.020 (SE $= 0.032$) for negotiated prices and

-0.031 (SE $= 0.045$) for reference prices—both economically small and statistically insignificant. The urgency premium exists only for items that are targets of litigation, ruling out the possibility that the main estimates reflect a generic correlation between urgency and prices.

6.7. Demand vs. Supply Side: Supplier Fixed Effects

The urgency premium could reflect demand-side pressure (officials accepting worse terms) or supply-side exploitation (firms charging more because they know the government is desperate). To distinguish these channels, we add supplier fixed effects (2,202 unique winning firms) to the preferred specification.

	bid_price_log		
	(1)	(2)	(3)
Urgent Purchase	0.0513***	0.0245	0.0109
	(0.0153)	(0.0159)	(0.0179)
Log Quantity			-0.3931***
			(0.0325)
Observations	196,883	196,642	196,642
R^2	0.86796	0.88083	0.92157
Within R^2	0.00022	5.41×10^{-5}	0.34189
item_id fixed effects	✓	✓	✓
year_n fixed effects	✓	✓	✓
pbu_id fixed effects	✓	✓	✓
firm_f fixed effects		✓	✓

DV: log negotiated price. Sample: winning bids for items with both ordinary and litigated purchases. Column (1): item + year + PBU FE. Column (2) adds firm FE. Column (3) adds log quantity. SE clustered at PBU level.

Adding firm FE attenuates the urgency coefficient from 0.051 to 0.025—a 52% reduction. Since 92% of winning firms serve both ordinary and urgent tenders, this attenuation reflects within-firm pricing behavior, not compo-

sitional change: the same firms charge more when they know the purchase is court-mandated. The remaining half reflects officials selecting into worse matches under time pressure. With both firm FE and quantity controls, the residual coefficient falls to 0.011 (statistically insignificant), suggesting that the urgency premium operates through two concrete channels: suppliers exploiting judicial pressure, and the loss of bulk discounts from demand fragmentation. Both channels have distinct policy implications (Section 7).

7. Conclusion

This paper estimates the fiscal costs of judicial enforcement in public health procurement, exploiting granular bid-level data on pharmaceutical purchases in São Paulo, Brazil. Court-mandated urgent procurement significantly distorts outcomes: reference prices rise by 2.7%, negotiated prices increase by 5.4% (3.1% net of quantity effects), and bidder participation falls by 5.5%, all within item, year, and buyer comparisons.

The "under the gun" analysis reveals that the sanction channel is particularly consequential. Comparing litigated and administrative urgent purchases—which share identical planning constraints but differ in penalty exposure—judicial sanctions alone account for a 23–30% price premium. This magnitude suggests that the threat of judicial punishment fundamentally alters the bargaining environment, distorting procurement incentives well beyond what planning disruption alone would imply. That urgent tenders are more likely to succeed despite worse terms confirms the mechanism: officials under

judicial pressure prioritize compliance over cost-efficiency, accepting higher prices to avoid the severe consequences of tender failure. This pattern echoes the broader insight from the accountability literature that oversight mechanisms can generate unintended costs when they distort rather than align incentives (Rasul and Rogger, 2018; Duflo et al., 2012).

The supplier fixed effects decomposition reveals that the urgency premium has two distinct sources: officials accepting worse terms under pressure (demand side) and firms charging more when they know the purchase is court-mandated (supply side), each accounting for roughly half. This decomposition points to two complementary reforms. On the demand side, expanding São Paulo's administrative request mechanism—which since 2009 has allowed procurement without judicial sanctions, reducing prices by 23–30%—to other states would eliminate the "under the gun" premium where institutional capacity permits. On the supply side, removing the court-order reference from tender notices (which currently serves as a public signal of the government's desperation) or establishing framework agreements for commonly litigated items would curtail supplier exploitation of judicial urgency.

The estimated price premiums, applied to the approximately US$300 million spent annually on litigated health items in São Paulo alone, imply approximately US$16–18 million in annual excess costs. These findings highlight a tension at the heart of right-to-health enforcement: judicial mandates intended to guarantee individual access impose substantial costs on the public budget, potentially reducing resources available for the broader health

system. Institutional designs that balance individual rights with procurement efficiency—rather than treating them as competing objectives—could improve welfare for both litigants and the broader population. Brazil's recent procurement reform (Lei 14.133/2021), which expands electronic auctions and introduces framework agreements, could mitigate the quantity-fragmentation channel we document—a prediction future work can test as the reform takes effect.

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